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THE JOURNEY TOWARDS FINANCIAL FREEDOM

A Healthy Mix with Asset Allocation

Asset Allocation is a major driver of your investment returns and is an important decision to make when it comes to investing.



For many people, the perception about investing is that you need to just choose a winning stock or invest in a mutual fund that has delivered stupendous returns and you are sorted. No wonder, the most common question about investing often starts with – which is the best stock or fund to invest? But the average person chasing a top performing fund or a company could end up with disappointing returns. The reason being; risk and return go hand in hand and you can't have one without the other.

The challenge is to find the right balance between investments that are risky enough to provide some growth and those that are conservative enough to maintain a good night's sleep. The concept of asset allocation comes in handy to solve this problem. It is an investment technique or tool that aims to balance risk and reward by dividing an investment portfolio among different types of asset classes such as equity, fixed income, cash and cash equivalents, real estate, commodities, etc (See: Types of Asset Classes).

The concept of asset allocation is based on a Nobel Prize winning theory that was pioneered by Harry Markowitz in his paper, "Portfolio Selection," published in 1952 by The Journal of Finance. Simply put, asset allocation is an investment technique that involves selecting a mix of asset categories appropriate to one's risk tolerance, time horizon, and financial goals. In many ways, asset allocation is an important factor in determining that an investment portfolio performs in line with an investor's goals that may help them achieve reasonable returns while lowering risks.

Why Asset Allocation?

When it comes to performance, asset-class leadership changes frequently because a single asset class rarely is the best performer year after year. For instance in 2018, gold posted 8.4% returns (Source: World Gold Council prices) when small-cap index was down 23.6% (Source: S&P BSE Smallcap index). However, in 2021 the positions were swapped, when the BSE small cap index topped with 62.4% returns compared to gold going down 2.7%. The volatility in the performance of these asset classes is due to various factors related to economic, financial, and geo-political and various other factors.

The varying performance of each asset class helps investors reduce the impact of risk their portfolio is exposed to because each asset class has a different correlation to one another. So, allocating investments